



Home Finance
Product Program
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Contents

A. INTRODUCTION.....	5
a) Product detail / Summary	5
b) Business Objective & Product Strategy.....	5
c) Strategic Alliances & Bulk Acquisitions	5
d) Corporate Deals & Bundle Packages.....	5
e) Portfolio at a glance	6
f) Industry Overview	7
g) Product Feasibility	7
h) Competitive Analysis.....	8
i) Product Suite.....	8
i. GharApna Home Finance	8
ii. Low Cost Housing	9
iii. Builder / End user Finance	10
iv. Green Finance	11
v. JS Her – GharApna	12
GhaApna – Solar Finance	12
j) Target Market.....	12
k) Geographical Outreach.....	13
l) Sales / Solicitation Channels	13
m) Value Proposition.....	13
B. PRODUCT FEATURES	13
a) Applicable SBP PRs	13
b) Finance Amounts	14
c) Number of facilities	14
d) Finance Tenors.....	14
e) Loan to Value (LTV) / Equity.....	15
f) Security & Collateral	15
g) Co borrower	16
h) Pricing Strategies	16
i) Finance repayment.....	17
j) Insurances	17
k) Non Target Professions	17
l) Non Targeted Areas	18
m) Approval In Principle.....	18
n) Fees and Charges	18
C. ELIGIBILITY CRITERIA.....	18

a) Basic Eligibility.....	18
b) Segment wise customer Age:.....	19
c) Segment wise Employment / Activity / Business requirement.....	19
d) Minimum Income.....	19
e) Income Constituents.....	19
f) Income Treatments & documentation Requirement.....	20
g) Income Estimation	22
h) Credit Reports.....	22
i) Debt Burden	22
j) Credit Bureau History Checks.....	23
k) Default / Write-off Check.....	23
l) Credit Score:	23
m) Politically Exposed Persons (PEP)	23
D. RISK ACCEPTANCE CRITERIA – Deviation Matrix.....	23
E. DEVIATIONS	24
F. PORTFOLIO CAP	24
G. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES	24
Product.....	24
Sales / Distribution.....	25
Sales Processing Unit (SPU)	25
Credit Initiation Unit (CIU).....	25
External Agency Management& Verification Unit.....	26
Fraud Risk Management Unit (FRMU).....	26
Credit Administration Unit (CAD).....	26
Collection & Recovery (C&R) and SAM.....	27
H. GENERAL	27
Annexure – A – Income Proxies	28
.....	28

A. INTRODUCTION:

a) Product detail / Summary

Housing Finance facilitates individuals in achieving their dream homes whether through building a housing unit or constructing one. In developed economies, housing finance activity is considered a barometer of economic activity since it engages 40-60 industries directly or indirectly.

Housing Finance in Pakistan has seen challenges since independence no government ever made it a priority on long terms. This resulted in housing units shortfalls in the country which is increasing day by day, this shortfalls keeps the real estate market bullish thus taking it out of the reach of ordinary Pakistani.

b) Business Objective & Product Strategy

The product primarily facilitates buying or building of a dream home for everyone.

The financing eligibility will be based on affordability and repayment capacity of the borrower as well as property being offered for mortgage being acceptable to Bank.

Improvement and extension of existing accommodation will be facilitated to improve quality of living while transfer of facility from another lender to Bank will also be facilitated for improved services.

All segments of society will be facilitated. Affordable and low-income segments will also be covered whether through Bank's own initiative or under Government's / SBP's special schemes.

The objective to offer above finance is to contribute towards Bank's profitability through:

- Acquiring "New" customers from targeted demographics to improve portfolio sizes
- Improving "Products Per Customer" (PPC) ratio through cross selling to existing asset customers as well as deposit account holders
- Enhance brand visibility of the Bank
- Strategic business partnerships

c) Strategic Alliances & Bulk Acquisitions

Bank will enter in strategic alliances/partnerships with service providers, FinTech companies, etc. for expanding the outreach for Bulk acquisitions.

In order to expedite the process of doing bulk acquisitions with regards to Home Finance, tailor-made product offering with customer selection criteria for strategic alliances including employee banking will be done.

d) Corporate Deals & Bundle Packages:

Sales Distribution team in consultation with Product teams will engage and structure Corporate and/or bundle packages either with Employee banking Relationships or other Bank relationships for overall business expansion

e) Portfolio at a glance

(Rs in Bln's)

Period	ENR	
	Cases	Amount
Dec - 2023	1,393	13.28
Dec - 2022	1,470	14.83
Dec - 2021	837	10.78
Dec - 2020	475	7.57
Dec - 2019	494	8.62
Dec - 2018	470	8.62

Portfolios as at 31st Dec, 2023

(Rs in Bln's)

Product Wise				
Region	Cases	%	Vol	%
Home Finance	488	35%	8.704	656%
MPMG Tier II	595	43%	2.191	17%
MPMG Tier III	310	22%	2.380	18%
Total	1,393		13.275	

Region Wise				
Region	Cases	%	Vol	%
South	530	38%	6.176	47%
Central	621	45%	5.431	41%
North	242	17%	1.668	13%
Total	1,393	100%	13.275	100%

Year on Year Sales / Disbursements

(Rs in Bln's)

Year	Volume		
	Conventional	MPMG*	TOTAL
2016 to 2020 (5 Years)	6.970	-	6.970
2021	3.582	1.431	5.013
2022	2.560	3.240	5.800
2023	0.783	-	0.783

* Mera Pakistan Mera Ghar (MPMG) being implemented by SBP through its scheme for low cost housing i.e. Government Markup Subsidy Scheme (GMSS)

NPL Status

(Rs in Bln's)

Period	ENR		NPL	
	Cases	Amount	Amount	Ratio
Dec - 2023	1,393	13.28	0.943	7.10%
Dec - 2022	1,470	14.83	0.668	4.50%
Dec - 2021	837	10.78	0.693	6.43%
Dec - 2020	475	7.57	0.945	12.48%
Dec - 2019	494	8.62	0.776	9.00%
Dec - 2018	470	8.62	0.352	4.08%

(Rs in 000's)

Product	Dec 2022		Dec 2023	
	Amt	NPL %	Amt	NPL %
Ghar Apna - HF	666,057	6.61%	894,254	10.31%
MPMG	1,690	0.04%	41,583	0.91%
TOTAL - HF	667,748	6.61%	935,837	7.07%

f) Industry Overview

Net portfolio movement during the year

(Rs in Bln's)

FY 2021	FY 2022	FY 2023
23.8	97.1*	11.6

*MPMG/GMSS related activity.

(Rs in Bln's)

Particulars	CY - 2021			CY - 2022			CY - 2023		
	ENR	NPL	NPL Ratio	ENR	NPL	NPL Ratio	ENR	NPL	NPL Ratio
Home Finance	148.000	9.923	6.70%	219.833	10.716	4.90%	211.519	12.168	5.80%

Source: SBP Half Yearly Report – June 2023 (Published Oct 2023)

Industry saw immense activity under Government of Pakistan's low income & low cost housing promotion initiative of "Mera Pakistan Mera Ghar" launched in late 2020/early 2021 and duly implemented by SBP under its Markup subsidy Scheme – Government Markup Subsidy Scheme (GMSS), the scheme went on until its abrupt closure in June 2022. Under immense pressure of deals going bad due to this abrupt closure, Government/SBP restarted the scheme selectively to close in process applications/cases.

Industry saw leap in portfolios which has since been under decline due to closure of MPMG/GMSS and high money market rate (22%) thereby impacting affordability of existing as well as new customers.

g) Product Feasibility

Housing Finance is globally a low yield product thus needs scaling of volume for financial feasibility.

NPLs and related provisioning also impacts the earnings significantly thus needs to be properly monitored and managed at early stages. In this regard, we adopted tiered mark-up rates or risk-based pricing according to the credit worthiness of individual borrowers and product profitability.

JS Bank housing finance portfolio is skewed towards Self employed individuals in view of affordability in rising real estate property values; hence, this remains a profitable & a prudently managed risk portfolio. Reduction in mark-up rates and aligning it to salaried segment will put a stress on our revenue streams.

h) Competitive Analysis.

All Scheduled banks have been into housing finance since 2004 along with House Building Finance Corporation which has been in business since early 70's. Conventional Banks have major portion of housing portfolio compared to Islamic Banks but with more focus of Islamic Banks towards this secured lending facilitation they have become market leaders top 3 housing finance portfolios belong to 3 Islamic Banks.

Micro Finance banks also started building portfolio under Housing Finance but it was majorly unsecured; lately they have ventured into secured financing under Government's Mera Pakistan Mera Ghar subsidized scheme.

Few Fin Techs also entered the market in 2021 as NBFC's and were licensed by SECP to start booking finances on their books as well as partner with Banks for automated services as well as sourcing for them.

i) Product Suite

- i. Ghar Apna Home Finance (HF)
- ii. Low Cost Housing Finance
- iii. Builder / End User Finance in under developed projects
- iv. Green Finance (GharApna + Solar Finance)
- v. JS Her – GharApna

i. GharApna Home Finance

Home Purchase:

Purchase of Complete or Semi Completed residential property(ies). Subsequent property finance may be done after 2 years. Payment to be made in the name of the seller.

Semi completed housing unit means any unit that has its title document issued for creation of Bank's charge but construction has not been completed.

Home Construction:

Construction on already owned plot. 100% of the construction value as per the approved Bill of Quantity (BOQ) can be financed.

Finance will be disbursed in favor of the customer in 4 tranches based on costs as per evaluated BOQ, however based on current stage of construction / structure disbursement will be done in lesser tranches upon valuator's review of BOQ.

Enhancements in Construction due to cost escalations or other reasons will be allowed based on cushion in LTV and upon fresh BOQs.

Construction must be completed within 2 years of finance disbursal

Plot Purchase plus Construction:

Finance for purchase of plot and construction thereon, Financings will not be structured and extended for only purchase of land.

Finance will be disbursed in 1+4 tranches, 1st one for plot purchase and remaining for construction (refer above section of Home Construction). Approved LTV will be observed at every stage of disbursement. Tranche disbursement: 50% of approved limit or 80% of Plot value (whichever is lower) will be disbursed upfront and remaining amount will be disbursed in tranches for construction purpose (As per provided BOQs & appraisal report).

Customer will be required to submit realistic construction schedule at the time of application. The construction should start within 6-8 months of disbursal for Plot Purchase else Bank will have the right to call back the facility. Financings will only be disbursed after proper title documentation is complete depending on the requirements of the relevant authority in each city.

Construction must be completed within 2 years of finance disbursal for plot purchase. If not completed within the specified timeframe, then Bank will have the right to call back the finance.

Home Improvement:

Finance against existing residential property for the purpose of renovation & extension only. Disbursement will be made to the customer upon satisfactory Appraiser Report. In case of 'renovation' over Rs. 5 mln disbursement would be done in two tranches.

Balance Transfer Facility:

Balance transfer of existing finance facility of borrower from other lenders, subject to the condition that facility taken over / transferred is not more than the balance amount in the transferring bank/DFI. Financing amount will be disbursed in favor of Financial Institution or Bank from where facility is being shifted.

SBP's updated advice and restrictions on the matter will be applicable like current min 18 months loan life required before eligible for transfer.

GHAAR ABAAD - Packaged Financing:

2 or more financing purposes can be packaged and approved in a single go or approved subsequently. Disbursements will be done under respective products and may include:

- a) Buy+ Construct
(purchase of semi completed house and subsequent construction for completion)
- b) BTF + Renovation

ii. Low Cost Housing

JS Bank considers this segment as the most deserving and supports all Government and SBP initiatives of financial inclusion for facilitation of low Income and low cost housing.

Low cost housing finance will be done within the parameters defined by SBP and amended from time to time. These include maximum property value, size and financing amount cap.

Financing in this segment includes Mera Pakistan Mera Ghar scheme of 2021 and related SBP markup subsidy scheme i.e. “Government Mark up Subsidy Schemes (GMSS)” features will be adopted and implemented in its spirit for benefit.

Features and Eligibility criteria for low income segment separately as well as under SBP Schemes will be defined separately. For SBP Schemes, specific features and parameters will be complied and implemented with concurrence of GH-RBG and CRO.

iii. Builder / End user Finance

New variant of housing finance to end users in under construction projects under SBP Circular NO, IH&SMEFD Circular No. 10 of 2021 dated September 02, 2021 & - Guidelines for financing of housing units in under-construction project & SBP circular IH&SMEFD Circular Letter No. 05 of 2022 dated February 25, 2022

Overview

Typical housing finance is secured against mortgage of property being financed under Regulation HF 8: Creation of Mortgage for Housing Finance. SBP has now given guidelines for financing end users investing/booking housing units in under construction projects at the very initial stage/booking stage against collateral of the builder and allowing exemption of HF 8.

“Regulation HF 8: Creation of Mortgage The house/plot (for construction of house) financed by the bank/DFI shall be mortgaged in bank’s/DFI’s favour by way of equitable or registered mortgage”

This end user financing of housing units can be done in projects where the builders/developers of the housing projects have availed construction financing from JS Bank solely or under Consortium lending. Such lending will be done after adequately securing the project and builder risks through mortgage of project land & structure thereon and other securities. While financing the builder under project finance all applicable aspects of the attached guidelines need to be followed for subsequent end user finance availability.

This end user facilitation will also facilitate banks in ensuring repayment/ settlement of their project financing through conversion of the same in housing finance.

Broad Structure

Customer on boarding eligibility and credit risk assessment parameters will be as per the existing housing finance product program.

Financings against housing units in multi-story housing projects under this arrangement will be done at the booking stage and secured by utilizing Bank’s already established security arrangements with the builders/developers under Project Finance or by creating a charge on the project. This arrangement will remain in place until arrangement of completion certificate, NOCs, approvals, utility connections and registered title deed between builder/developer and buyers of housing units.

End user financing will be done under “Construction/Build” product to enable release of scheduled payments on behalf of the customer, these payments will exceed the usual 4 tranches allowed in normal construction cases and will vary from project to project.

Following are few critical guidelines related to end user finances:

- a) All purchasers of housing units in the project availing mortgage finance shall sign a tripartite agreement with the builder/developer and bank(s)/DFI(s)
- b) The ‘allotment letters’ for the housing units in the projects shall be appropriately drafted jointly by legal counsels of bank(s)/DFI(s) and builders/developers
- c) The builder/developer shall provide guarantee to buyback the housing unit or arrange an alternative purchaser in case of delinquencies
- d) Bank(s)/DFI(s) shall require builder/developer to neither give possession nor transfer the ownership of housing unit without clearance of all over dues at the time of possession or transfer.
- e) Upon completion of the project, builder/developer shall be required to transfer ownership of housing units to purchasers through registered title deeds along with completion of all formalities as prescribed by relevant law and creation of mortgage in favor of mortgage financing bank(s)/DFI(s) without any legal impediment.

Financing amounts will be released in tranches upon completion of construction milestones as per agreed terms and conditions in an Escrow account of the builder / developer opened with JS Bank and managed and monitored by the Corporate / Commercial team handling the project financing exposure. The builder’s/developer’s equity and purchasers’ equity contribution and subsequent payments of the purchasers through mortgage financing shall be routed through the same account. The mentioned and attached SBP circular and the annexed Guidelines are being adopted and implemented to the extent applicable for financing to individual customers and becomes part of the Housing Finance Product Program.

Transactions/Deals will be structured and approved by Product, Business and Risk departments

Where required, Corporate, Commercial business teams will be partnered with; Compliance & Legal departments feedback will be sought on technical and legal aspects of structuring.

Processes and Guidelines will be developed with engagement of stakeholders for inclusion in their respective manuals/SOPs for implementation to cover pre and post disbursement aspects.

iv. Green Finance

In view of the global perspective to promote climate friendly, green and sustainable housing projects / products duly followed by GOP as well as SBP, we have introduced this new variant to start off on the initiative by adding option of financing efficient energy aspect to the housing unit being purchased or constructed and financed by us. This may include financing of pre-fabricated (prefab) housing units that may be energy efficient or carbon efficient or comply with any other efficiency aspect.

The finance will be approved in a package where by dynamics of relevant house finance product and GharApna – Renewable Energy Finance will apply. Disbursements will be done in tranches so as to release the funds for the purpose they are given.

v. JS Her – GharApna

As a part of our Banking on Equality (BOE) initiative based on State Bank of Pakistan's broader initiative of financial inclusion and enablement, this variant scope of women centricity will provide extra benefits on top of discounted features to the existing relevant finance variant.

All channels will be advised to explain benefits of facilities under this variant for which separate product category (ies) will be opened. Female customers will be allowed following relaxations based on customer profile (Income segment, Age, City, etc.)

- i. 40 - 60% discount in Processing fees
- ii. 50% discount in early termination charges
- iii. Free balloon payments allowed; upto 40% of the outstanding principle in a year

All features criteria's of mother product/variant will be available under this variant as applicable. Including coborrower. Co-borrowers under this product variant can only be secondary borrowers while female customer has to be primary borrower contributing equally or more to the repayment of finance.

Any relaxation over and above the above defined criteria will be allowed by Head of Products and Analytics.

All distribution channels will specifically assign certain %age of annual sales target to this product variant for contributing to Bank's overall women diversity and inclusion initiative.

GhaApna – Solar Finance

Solar Finance under home Improvement

Solar Financing will be allowed under Home Improvement / Renovation as covered under HF-2 of PRS. Separate detailed portion for residential product is covered in the Program dealing with Renewable Energy / Green Financings

j) Target Market:

Potential Housing Finance customers pertaining to Salaried and Non-Salaried segments from all Income and social segments. The segments are broadly characterized below:

- 1. Salaried
Salaried customers of all types of employers will be entertained
 - i. Permanent
 - a. Resident
 - b. Non Resident
 - ii. Contractual
 - a. Resident
 - b. Non Resident
 - iii. Government, Semi Government and Armed Forces
 - iv. Employee banking/private banking
 - v. JS Group staff
 - vi. JS Bank staff
- 2. Self Employed
 - i. Businesspersons

- ii. Professionals
- 3. Others
 - i. Retired (Pensioner)
 - ii. Rental Income
 - iii. Agri Income
 - iv. Foreign Remittances
 - v. Deposit, Certificates and Instruments
 - vi. Etc.

Related Parties: Transactions with all individuals defined as related party be relevant Prudential Regulation of SBP shall be at arm's length basis and on normal terms and conditions as applicable for other customers of the Bank in line with regulatory requirement. The Bank shall ensure that the appraisal standards are not compromised in such cases and market rates are used for such persons.

k) Geographical Outreach

The portfolio acquired through this program shall include properties in all areas where JSBL has branches, including rural and urban areas in all cities. Cases where collection & Recovery setup does not exist, Branch Banking will provide full support for the cases sourced & recommended by them.

l) Sales / Solicitation Channels

Housing finance product may be sourced through all or any of following channels:

- 1. Distribution Teams of Retail Banking Group
- 2. Branch Network
- 3. Employee banking
- 4. Tele Sales
- 5. Digital Channels
- 6. Staff Get Member

m) Value Proposition

JS Bank Home Financing (GharApna) is a trusted brand name in the market and since inception has remained an active player in the industry. It offers a whole range of both generic & unique features which makes it a competitive product in the market. It progressed over the years with many new initiatives to cope with the emerging market needs and establish a top brand. Following are product features;

- 1. Co-borrower option for improved eligibility
- 2. Competitive pricing
- 3. Fixed, Variable and Hybrid rate Options
- 4. Risk based pricing benefiting good credit histories
- 5. High Equity contribution benefits
- 6. Early and partial payment options
- 7. Low cost property Insurance

B. PRODUCT FEATURES

a) Applicable SBP PRs

SBP's prudential Regulations (PRs) for Housing Finance will apply, all SBP advices (amendments,

additions, revisions, guidelines, and Schemes, etc.) issued from time to time will automatically become part of the relevant products' program & departmental SOP documents for adoption.

AML / CFT / CPF regulation will be followed, CDD of the customer shall be performed as per the Bank's AML/CFT/CPF & CDD Policy's.

Any material changes to product paper should be brought up to IRMC members for review and approval. Whereas, any cosmetic changes related to reporting and information management be automatically approved and incorporated in the product program.

b) Finance Amounts

As per SBP's Housing Finance PRs there is no cap on finance amount and thus would be followed. However, as per internal credit & risk controls, product wise max finance amounts for all variants will be as follows:

Criteria	Product	Amount
Minimum	All Products	500 K
Maximum	Purchase/Buy	100 Mln
	Construct / Build	75 Mln
	Plot Purchase + Construct	100 Mln
	BTF	100 Mln
	Improve	10 Mln*

*Renovation - 20 Million on houses of =>1000sq/yd in major cities (K,L,I)

SBP Schemes - As per specific scheme terms / guidelines amended from time to time.

c) Number of facilities

Customer can avail maximum 3 finances at a time subject to affordability and satisfactory credit history of existing facilities with the Bank and industry.

d) Finance Tenors

Criteria	Product	Tenor
Minimum	All Products	1 Year
Maximum	Purchase/Buy	25 Years
	Construct / Build	
	BTF	
	Improve – upto 10 Mln	10 Years
	Improve – up to 20 Mln	20 Years

*Finance against Foreign Remittances will be done for a max of 10 Years.

Tenor Enhancement

Every customer can avail finance up to maximum eligible tenor, he may in the interim opt shorter tenure but can avail remainder of the eligible tenor anytime in the future, total duration of finance should in no way exceed max tenure allowed under SBP PRs for Housing Finance. Relaxation through extension of tenor under regular repayment conditions will not be considered as restructuring.

SBP Schemes - As per specific scheme terms / guidelines amended from time to time.

e) Loan to Value (LTV) / Equity

As per SBP's Housing Finance PRs: Up to 85%. However, as per internal credit & risk controls, segment wise LTVs for all variants will be as follows.

Segment		LTV CAPs *	
		Buy / Build / BTF	Renovate
Salaried		40% of Structure value	
	MNCs & LSMI		80%
	Approved Cat “A & B”		
	Employee Banking		70% **
	Government / Semi Govt		80%
	Armed Forces		
	JS Group Staff		
	JS Bank Staff		
	Other Private Companies & Cat “C”		70%
Self Employed			
	Professionals		80%
	Business Persons		
Others			70%

*As per market value in Appraiser Report(s)

** 80% on Head of EB Recommendation

➤ **BTF:** 100% of the outstanding at transferee bank within above LTV

LTV will be based on valuations/ assessment of the property conducted by external evaluators on Bank's & PBA approved panel. Valuations will be conducted as follows:

- Finance up to Rs. 10 million: at least one valuator
- Finance above Rs. 10 million: at least two valutors

Fair Market value will be considered for calculation of LTV and incase of 2 valuations, average value to be considered.

However, the properties valuing up to Rs. 3.0 million should not be subject to assessment by valuator. Banks/DFIs can use their internal resources to assess the properties having market value upto Rs. 3.0 million.

SBP Schemes: As per specific scheme terms / guidelines amended from time to time.

Furthermore, bank will also either develop and maintain Housing Price Index (HPI) or use PBA standard report developed for the industry use in which property values by locality/property type will be gathered by External Agencies Management & Verification Unit (EAMU) through different sources like realtors, property valutors etc.

f) Security & Collateral

Prime Security

Mortgage of residential property being financed. Bank's charge over the property will be created through equitable mortgage and/or registered mortgage as per advice of legal council

Secondary Property

Liquid securities or another residential property of the borrower can be accepted to meet prescribed 15% equity contribution of the borrower. Bank will create lien/ mortgage on the liquid securities / another residential property accepted as equity contribution and total financing amount shall not exceed value of residential unit being financed.

***IH&SMEFD Circular No. 13 of 2020** November 20, 2020

Property Location

Finance Amount Less Than PKR 20M: The property must be located in a city where a JS Bank branch is present.

Finance Amount Greater Than or Equal to PKR 20M: For finance amount => PKR 20M the property must be located in the following cities: Karachi, Lahore, Islamabad / Rawalpindi, Multan, Hyderabad, Faisalabad, Sialkot, Gujranwala and Peshawar, and only in areas where title is perfected.

Changes & Additions / Deletions to above thresholds as well as case to case approvals beyond the applicable thresholds will require 1 level up review and approval max up to the level of CRO.

Construction violations

All violations will be highlighted by the valuator (s) and structure valued accordingly. Where the violations are minor, same will be ignored; however, where property has major violations – only land value to be taken at 80% LTV. Provided then there is no violation in land area/size. In any case Land encroachment/violation will not be allowed.

g) Co borrower

Customers are allowed to add co-borrower to the financing for the purpose of

1. Clubbing of Income(s)
2. Clubbing of Security/Collateral
3. Both

Blood Relations (except married sisters) and Spouse will be allowed as coborrowers for structuring the finance facility.

In NRP cases main applicant will be Non-Resident Pakistani along with a Co-borrower residing in Pakistan.

h) Pricing Strategies

Pricing is strictly based on the competition analysis, customer profile, internal cost of funds, sales targets, product profitability and margins. Following pricing rate options may be used for offering pricing to customers:

➤ Floating / Variable Rate:

Variable rate will constitute of:

Base Rate (KIBOR) *plus* Bank's Margin (Risk based)

➤ Fixed Rate: 1-3 Year Rollover Rate (Fixed for 1-3 Years, Re-priced after end of every 1st or 3rd year, depending on fixed rate tenor).

- **Hybrid Rate** (Fixed for First 1-3 Years, moving to Floating rate post completion of 1-3rd year, and re-priced on each facility anniversary on floating rate from year 2-4 depending on fixed rate tenor.)

Floating / Variable rate will be based on KIBOR with options to choose between 6 Months and 1 Year base. This will continue till settlement/adjustment of finance facility.

For the purpose of mid-term fixed rate options, Bank can use facilitation options offered by PRMC and other lenders.

Risk based Pricing - Bank's margin structure will be applied and can be changed by GH – Retail / Head of Products based on feedback/suggestions from Business and Risk.

Rate breaks will be allowed as per applicable delegated authorities defined by CEO.

SBP SCHEMES - As per specific scheme guidelines amended from time to time

i) Finance repayment

This is a medium to long term finance facility whereby buy back price will be repaid by customer through equal monthly installments (EMI). The installments may vary with repricing under variable / hybrid pricing options based on change in base rate i.e. KIBOR.

Customer can use any mode of repayment for making available funds in the non checking account before the due date.

j) Insurances

Property Insurance

Properties offered by customer as collateral/security will be insured for associated risks and safeguard of collateral. Sum insured will be full structure value of the property (ies).

1st year premium will be paid in advance and subsequent years premium will be collected in preceding years installments.

Mortgaged Property (ies) structure to be fully Insured

Life Assurance

Life Assurance will be optional at customers cost (premium payment by customer) for any amount or tenor. This can be through Bank's panel arrangement through Centralized Operations department or any other private arrangement by customer which will be assigned to the bank

k) Non Target Professions

1. Lawyers
2. Journalists/Anchors. All other media related person can be entertained at 40% equity
3. Law Enforcements Agencies
4. Non IATA Travel Agency Owners
5. Collection / Recovery Officer for Banks
6. Money Changers / Brokers
7. Media Personalities (Only Anchors and Journalist should fall under this Category)

8. Public Transporters (Excluding Goods transporters)
9. Real Estate Agents that are not our branch deposit customers.
10. Sales Officer Primarily based on incentives.
11. Auto Dealers and Rent A Car business
12. Arms & Ammunition Dealers

JSBL Branch customers with at least 6 months of depository relationship and having 12 months of bureau relationship shall be exempted from this

l) Non Targeted Areas

Property being financed / Collateral should not be in the non-target areas, list of such areas will be maintained & shared with product and business by consumer risk. Any addition/deletion in areas list can be made with joint approval of Business Head Consumer Banking, CAD and Head of Consumer Risk.

m) Approval In Principle

An “Approval In Principal (AIP)” may be conveyed to customers (earlier termed as Conditional Offer Letter for Home Finance only) based on basic documents and information provided by the customer to assess his financing eligibility.

This intimation will be given after basic due diligence e.g. Verisys, e-CIB but before Verifications and FRMU checks to ensure competitive Turn Around Time (TAT) and cost savings on probable decline cases.

A standard conditional letter drafted and vetted by Legal and CAD will be issued to customers.

n) Fees and Charges

As per SOC for all the Product Type of Home finance.

C. ELIGIBILITY CRITERIA:

a) Basic Eligibility:

All customers must be Pakistani nationals with valid National Identity Card (SNIC/CNIC/NICOP).

Pakistan Origin Card (POC) holders may also be facilitated, subject to following:

1. Compliance of AML/CFT requirements;
2. Purpose of borrowing must be clear, legitimate and duly documented;
3. The loan shall be liquidated by the borrower through remittances from abroad in foreign exchange through normal banking channels or by debit to their repatriable PKR and foreign currency accounts which must be fed through foreign remittances;
4. Sale proceeds of property, moveable or immovable, created from such lending shall not be eligible for repatriation, unless otherwise allowed by SBP through general or specific permission.

b) Segment wise customer Age:

Segment	Minimum	Maximum *
Salaried	23 Years	Retirement age **
Self Employed Professional (SEP)	21 Years	75
Self Employed Businessperson (SEB)		70
Others		
Co borrower		

**Age at the time of maturity*

*** Where retirement age confirmation is not available, it will be treated as 60*

c) Segment wise Employment / Activity / Business requirement

Total experience required in each segment is as follows, this can be proven by customer through any document:

Segment	Min period
Salaried *	1 Year
Permanent	
Contractual**	
Self Employed Professional (SEP)	
Self Employed Businessperson (SEB)	2 Years

**However, for EB customers, MNCs, LSM employees, Government Servants and Armed Forces officers - this requirement will be 6 months.*

*** Third party contractual employment will require 2 years overall experience.*

d) Minimum Income

Segment wise monthly minimum income requirement is as follows:

Segment	Rupees
Salaried * (Gross Monthly Income)	
All Segments	100,000
Self Employed	
Professional (SEP)	100,000
Businessperson (SEB)	150,000
Others (Rental, Pension, etc)	200,000

e) Income Constituents

Income from all sources will be included, max income drawn from any source will determine customer segment for financing aspects applicability.

f) Income Treatments & documentation Requirement

Segment wise documentary requirement from the customers is as follows:

Customer Segment	Treatments	Documents
All Customers		1. Duly filled in Application form 2. Copy of CNIC/NICOP 3. 2 passport size photographs 4. Any current utility/telco bill (reflecting Home & Office addresses) – duly paid. 5. Copy of Passport from non-residents only. 6. SBP specified formats (<i>separately if not covered in Application form</i>)
Salaried	Source and quantum of income will be determined through documentary evidences. For EB, MNC's, Govt officers and other high-end relationships these will be restricted. ➤ <u>Salary</u> : Monthly Gross ➤ <u>Commission</u>: Average of min 6 months ➤ <u>Bonus / LFA</u> : <u>Fixed Bonuses</u>: 10% to be considered. <u>Variable Bonuses</u>: 100% of the 2 years average to be considered Net Income will be considered for DBR calculation	1. Any document confirming employment e.g. Employment Letter, Increment Letter, Promotion letter, Office Card, etc. 2. Salary slip / Certificate 3. 3 months Bank statements (except EB) If employment letter is showing salary details, then salary slip/salary certificate is not required. 1 above not required for employees of: 1. Employee Banking 2. Government/ Semi Government departments 3. Armed Forces 4. MNCs & LSMs <u>Bonuses, LFA, Commission.</u> 1. 6-month Bank statement reflecting Commission 2. Employer's advice / letter for Bonus/LFA OR Bank Statement(s) portions reflecting credits.
Self Employed Professionals	This segment has potential for all 4 sources of income	If salary income – above requisites, as applicable

	i.e. Salary, professional, business and others.	Professional income 1. Profession certificate 2. Professional Income payment proofs, if any. 3. 6 Months Bank Statement Business Income – As per SEB requirements
Self Employed Businesspersons	Income will be determined on basis of any documentary proof or estimation through proxy models like bank proxy & income estimation.	Either of following: 1. Audited Accounts 2. Income Tax Return 3. 12 Month Bank Statements 4. Business status proof 1. Sole proprietor – Sole Proprietor letter or Bank Letter 2. Partnership – Deed 3. Limited Company – Letter of Incorporation and Form 29 If quantum of income from above do not suffice then Income Estimation(s) is to be conducted through external service providers. Where Finance amount exceeds Rs. 50 Mln, 2 Income Estimations are to be conducted and average of the 2 reports will be considered. Income Estimation report(s) with min 80% confidence level will be acceptable and considered.
Others	Income will be determined on basis of any relevant documentary proof. Pension Income Pension income for the pensioner or successor received in account with JSBL will be used for evaluating eligibility Rental Income based on evidence of ownership of rented property(ies) and rental income proof	Pension Income 1. Proof of pension received. Rental Income 1. Any title document of property (ies) for which rental incomes is claimed 2. A rent agreement evidencing rental arrangement 3. 6 months Bank statement as a proof of net worth *Rent should be reflected in Bank

	Agri Income Where agree income from cultivation activity is considered, assessment through Agri Finance officer/team will be done internally. Remittances 6 months average remittance which is coming from immediate family members (Spouse, Children & Parents) of applicant Saving Certificates / Fixed Deposits Profit with JS Bank: Consideration of 100% of profit on deposit (net of tax) through reflection in Bank Statement from last 1 year	statements Agri Income 1. Agriculture Pass Book 2. Agri income proof Remittances 1. Evidence of remittances received Saving Certificates / Fixed Deposits Profit with JS Bank: 1. Copies of certificates 2. Bank statement for profit on deposits / Bank certificate of profit
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g) Income Estimation

Concept of Income Estimation is to cover complete business volume i.e. both cash and bank based transaction of the customer activity to gauge realistic business turnover estimates enabling better view of the size of business and cash flows. Where Income Estimation is done other requirements like Bank Statement, tax returns, etc will not be required.

For Low Cost Housing: Income estimation for informal sector require specialized feet on street, in order to verify income sources through on-site visits and verifications. Such detailed income assessment methodologies are neither cost effective nor time and resource consuming. An alternate approach used is that of proxy income by way of ascertaining income through indirect means. There are multiple income proxies being utilized to assess income for informal sector in Pakistan as well as other developing countries. However, few notable income proxies can be employed for the purpose like broad guideline issued by PBA on behalf of SBP in 2021/2022 attached as Annexure “A”

h) Credit Reports

Bank will comply with SBP Housing Finance PRs requiring of arranging Credit Bureau reports, these can be obtained from any Credit Bureau licensed for the purpose by SBP. All valid facilities will be reviewed and considered for delinquencies and DBR calculation.

i) Debt Burden

Bank will comply with SBP Housing Finance PRs requiring NDI/DBR ratio of up to 50% for assessing customer affordability, repayment ability and capacity.

Bank may use a tightened criterion of applying lower DBR ratios based on credit history, customer segment, property locations, etc. These will be managed through an internal understanding of Risk, Product and Business departments and can be reviewed from time to time.

j) Credit Bureau History Checks

- I. Presently current in all products. Customer showing delinquent to be considered if payment deposit slip is provided.
- II. Not more than twice in 30 DPD in last 12 months
- III. Not more than once in 60 DPD in last 12 months
- IV. Never in 90 DPD in last 12 months.
- V. Up to PKR 10,000 amount in delinquency will be processed under normal criteria

k) Default / Write-off Check

Both time and amount materiality's will be considered while reviewing defaults and write offs. Cases with following scenarios will be treated as normal provided that they are current in their existing facilities:

- I. Any amount where default/write off is 5 or more than 5 years old
- II. Default / Write off up to Rs. 15,000 between 3 to 5 years old.
- III. No clearance letter will be required for these 2 situations.

l) Credit Score:

Consumer Risk will either develop and deploy a Credit Scoring model or deploy an external scoring model to cover Internal Credit Risk Rating System for housing finance. Credit Score achieved by a customer will have a significant weightage on eligibility of a customer. Parameters of Credit Score and their weightages will be reviewed frequently and revised by CRO.

m) Politically Exposed Persons (PEP)

Product is subject to all applicable SBP & other regulator's guidelines /instructions including internal instructions/policies issued by bank from time to time

D. PORTFOLIO CAP

Portfolio built under products/variants driven through this product program will be monitored by risk team for cautions exposure in certain segments, following CAPS will apply in this regard. Amendment of criteria and thresholds may be revived/amended by CRO in consultation with GH RBG. Further, temporary relaxations / breaches may also be allowed mutually by GH RBG and CRO

- Portfolio up to July 2024 will be treated as "Sunset" and will not be monitored under CAPs.
- Fresh solicitation from August 2024 will be done primarily to Salaried Segment from all channels with 10% CAP of total portfolio under Self Employed Segment.

**Deviation to above "Self Employed" CAP CRO and GH-RBG to approve the cases over and above the cap, as deviation, only where down payment has already been received.*

E. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES

Support departments roles, responsibilities and processes will be as per their respective manuals, brief of these are as follows:

Product

Department's primary role will be to structure, review and update the Product Program on the prescribed review period as well as in interim based on regulatory changes, market dynamics changes or strategic focus change. Product team is to enable business teams through marketing campaigns,

sales incentivization and stakeholder's coordination's for efficient activity and turn around times while keeping in mind the P&L impacts.

Sales / Distribution

These represent the front end customer interacting and customer engaging teams, they are responsible to solicit sales by advising features & eligibility aspects of the finance product to the customer in light of policy guidelines, satisfy their queries and onboard them.

Following will be the main functions of this department,

- Initial Pre-screening: Evaluate customer according to Policy Criteria
- Provide tentative Sheets to the customer
- Completion of Application and related documents
- Customer coordination at each Stage
- Signing of Application
- Initial and Credit review
- Execution of Legal Documentation
- Disbursement
- Coordination with related stake holders for smooth processing of case

Sales Processing Unit (SPU)

Acts as a vital first checkpoint for various financial product applications, including finances, credit cards. They analyze applications against established criteria such as basic customer eligibility, and document completeness before initiating cases on EuroNet/LOS (WRA). Their deep understanding of financial products and compliance regulations, coupled with expertise in the system, enables them to identify deficiencies early on. These are promptly communicated to sales channels through detailed reports and real-time notifications, ensuring swift resolution and complete applications. This proactive approach minimizes delays, enhances efficiency, and ultimately contributes to a smoother approval process for both customers and sales teams.

Credit Initiation Unit (CIU)

CIU is responsible for assessing the creditworthiness of consumer finance applications through qualitative and quantitative analyses. The unit ensures compliance with credit policies, both external (such as SBP consumer protection guidelines) and internal. The limit approver evaluates the applicant's ability to repay by scrutinizing income sources, verifies provided information and documents, reviews credit checks, and ensures the credit application aligns with established policies. Overall, the CIU plays a crucial role in making informed credit decisions to manage risk effectively.

While reviewing and approving the credit application, limit approver assesses the following:

1. Qualitative and Quantitative Analysis - This involves assessing various aspects, including the applicant's financial situation, credit history, and other relevant factors
2. Credit Decision Process - This involves considering the results of the analysis and determining whether the applicant meets the credit criteria
3. Assessment of Repayment Ability - This is crucial in determining whether the applicant has the financial means to meet the repayment obligations.
4. Document Verification - This step is essential for maintaining the integrity of the credit approval process.
5. Review of Credit Checks - This involves assessing the applicant's credit history and any other relevant financial information to gauge their creditworthiness.

6. Adherence to Credit Policies - This includes compliance with both external regulations, such as those set by the State Bank of Pakistan (SBP) for consumer protection, and internal policy parameters established by the lending institution.

External Agency Management & Verification Unit

Department is responsible for onboarding & managing all external service providers like, verifications, income estimations, valuations, legal support, etc. Services provided by external service providers are channeled through the EAMU/CIU for quality control while maintaining efficient TATs.

Fraud Risk Management Unit (FRMU)

Department's prime role is to evaluate fraud risk and take a decision. FRMU mainly deals in Prevention, Detection and Control of fraudulent losses. If no proper preventive or control measures are taken substantial fraud losses may occur to an extent that may undermine the profitability of the business.

FRMU - Vigilance

We are responsible for eyeballing and vigilance of cases and approvals given on LOS for progress, however in case investigation is required on any case the same is forwarded to FRMU for investigation.

Credit Administration Unit (CAD)

CAD is distributed into 2 departments:

- a) CAD – Documentation
- b) CAD – Operations

CAD - Documentation

Department's prime role is to evaluate Collateral risk, security perfection, monitoring and legal documentation. After credit approval, CIU sends the file to CAD for processing of charge documents. Documentation team scrutinizes the application for completeness and required documents. If everything is in order, Documentation Officer prepares Facility Offer Letter and Charge documents for customer signatures. It also issues Disbursement Authorization Certificate (DAC) and sends to CAD Operations.

CAD – Operations

Department's prime role is to disburse a finance facility, handle all post disbursements, operations of the facility till maturity/settlement, settlement and release of collateral, etc after reviewing DAC except GOLD financing and Consumer Finances. Also circulates overdue reporting product wise / markup claim submission of markup sharing products to SBP/ Loss claim submission to SBP, Refinance disbursement and monitoring.

CAD – MIS & Limit Implementation

Unit's prime role is managing all External / Internal Reports (excl. Consumer & Credit Cards) which mainly includes pan Bank eCIB Reporting, NPL report, Overdue Report(PAN Pakistan) and Portfolio Management. The Unit also responsible to input the limit in the system upon receipt of DAC from CAD – Documentation, & proceeds with disbursement of facility.

Collection & Recovery (C&R) and SAM

Collection Unit: Department's prime responsibility will commence from the time an account becomes delinquent or is routed in the collection's queue, until it is regularized by means of payment or closed with full payment of the outstanding amount and the goal of the Collection department is to obtain payments promptly, while minimizing collection's expense and write-off costs, as well as maintaining the customer's goodwill by a high standard of service.

Recovery Unit: Department's prime responsibility is to minimize JS Bank's losses. Recovery can initiate litigation against defaulted customers and subsequent follow-up of the court proceedings. For Skip accounts, they will focus on tracing the customer and try to bring him on the negotiation table for settlement

SAM department: will be engaged by C&R teams in respective cities for providing support on recoveries of all cases

F. GENERAL

1. Product will design marketing collateral and run marketing campaigns to support sales/distribution teams achieve their targets. Marketing department will be engaged for all marketing related activities.
2. All risk aspects will be viewed as per Bank's strategic view, Internal risk policies & approach and will be approved by GH – Retail & CRO jointly for implementation.
3. All interim amendments will be incorporated in the relevant Product Program under the scheduled review process The Product Program will be implemented through adoption/amendment of respective department's SOP / process manuals.
4. SLA will be structured and supervised by Customer Experience department in consultation with respective department and consultation of Product team for ensuring efficient turn around time (TAT) resulting in improved customer experience.
5. Changes & Additions / Deletions to internally managed features and eligibility thresholds will be done with mutual understanding of Product, Bossiness, Consumer Risk and CIU while case to case approvals beyond the applicable thresholds will require respective business head recommendation and 1 level up review at CIU/Risk and approval max up to the level of CRO.

Income estimation for informal sector – PBA broad guidelines issued in 2021-2022

Proxy Code	Proxy Definition
Income Proxies & Repayment Surrogates: Based On Data Received From NAPHDA	
Data From Banks & Microfinance Banks	
1. Bank Statement / Mobile Wallet Based Income Proxy and Repayment Surrogates for Private Sector Employees and Self Employed	
P1	1.1 - Average monthly credits of last 6 months are at least equal to the EMI of Home Loan for applicants having good credit history in bureau of last 12 months. The EMI should not be more than 45% of the higher side of declared income bracket
P2	1.2 - Average monthly credit of last 12 is at least 1.5 times of the EMI of Home Loan for applicant with no bureau history or the bureau history is less than 12 months. The EMI should not be more than 41% of the higher side of the declared income bracket.
Income Proxy	
P3	1.3 - Average balance of each month is calculated for last 12 months. After 12 averages are arrived at, simple average balance is to be calculated of 12 monthly average balances which would be considered Monthly Income for applicants having good credit history in bureau for last 12 months. The EMI should not be more than 45% of the higher side of declared income bracket.
P4	1.4 - Average balance of each month is calculated for last 12 months. After 12 averages are arrived at, simple average balance is to be calculated of 12 monthly average balances which would be considered Monthly Income for applicants having good credit history in bureau for less than 12 months or no credit history. The EMI should not be more than 41% of the higher side of declared income bracket.
S1	Salary Credit in Bank Statement of salaried individual (irrespective of salary narration/code)
Data From SBP via NAPHDA: Bureau scrub of the applicants' data found in SBP database For SEB and non Govt Employees	
2. SBP Bureau Scrub Based Repayment Surrogate	
P5	2.1 -For customers having at least 12 months good credit history of loan repayments appearing in bureau. EMI of the current loan shall be at least 5% of the EMI of the home loan applied. Applicants who currently have a mortgage loan should be excluded. EMI of the HL should not be more than the 45% of the higher side of the declared income bracket.
Data From Telcos & PTCL via NAPHDA: Last 12 months statement including last 12 months top up, last 12 months usage month on, average top up per attempt and number of top up each month. Last 12 months payments from PTCL - For SEB and non Govt employees	
3. Telcos/PTCL Based Income Proxy	
P6	3.1 - For customers with good credit history in bureau for last 12 months. Last 12 months average top up to consider 2% of monthly income. Income to be derived by dividing the average monthly amount by 2%. The EMI of applied home loan should not be more than 45% of the higher side of declared income bracket. Applicants already availing HL in bureau record to be excluded.
P7	3.2 - For customers with no or less than 12 months credit history in bureau. Last 12 months average top up to consider 2% of monthly income. Income to be derived by dividing the average monthly amount by 2%. The EMI of applied home loan should not be more than 41% of the higher side of declared income bracket. Applicants already availing HL in bureau record to be excluded.
Data From Govt Departments (Only for Govt Employees)	
4. Government Employee Based Income Verification	
P8	4.1 - Current monthly income confirmation from Government (employer). DBR of home loan at max 45% for customers with 12 months good credit history.
P9	4.2 - Current monthly income confirmation from Government (employer). DBR of home loan at max 40% for customers with no or less than 12 months good credit history
FBR Data For Non Govt Employees and SEB	
5. Non Government Salaried and Self Employed	
P10	5.1 For non Govt Salaried: Income to be derived by a multiple of 1.3 times of the declared income in tax return. 45% DBR for thick file in bureau and 40% for no file or thin file
P11	5.2 For SEB: Income to be derived by a multiple of 3 times of the declared income in tax return. 45% DBR for thick file in bureau and 40% for no file or thin file
Income Proxies & Repayment Surrogates Where Data Is Not Available (In case of cash salary)	
6. Monthly Rental Payment Based Repayment Surrogate For People Living on Rent	
P12	6.1- Consideration of EMI up to 1.2 times of current monthly rental amount being paid by applicant where applicant is not maintaining any credit history or less than 12 months as per bureau scrub. The EMI should not be more than 40% of the higher side of declared income bracket.
P13	6.2- Consideration of EMI up to 1.5 times of current monthly rental amount being paid by applicant where applicant is maintaining good credit history since last 12 months as per bureau scrub. The EMI should not be more than 45% of the higher side of declared income bracket.
7. Monthly Expense Based Income Proxy For People Not Living on Rent	
P14	7.1 - Utilities expense generally stands at 5-10% of a household income; therefore, multiple of 8 to be allowed to calculate income for applicants. EMI of the applied home loan should not be more than 45% of the higher side of the declared income bracket for 12 months history in bureau and 40% for less than 12 months history
P15	7.2 - Educational expenses such as school fee and tuition fee accounts for up to 25% of overall household income; therefore, a multiple of 3.5 to be allowed to calculate income. For applicants who have at least 12 months bureau history, EMI of applied loan should not be more than 45% of the higher side of the declared income bracket and for less than 12 months credit history it should not be more than 40%.